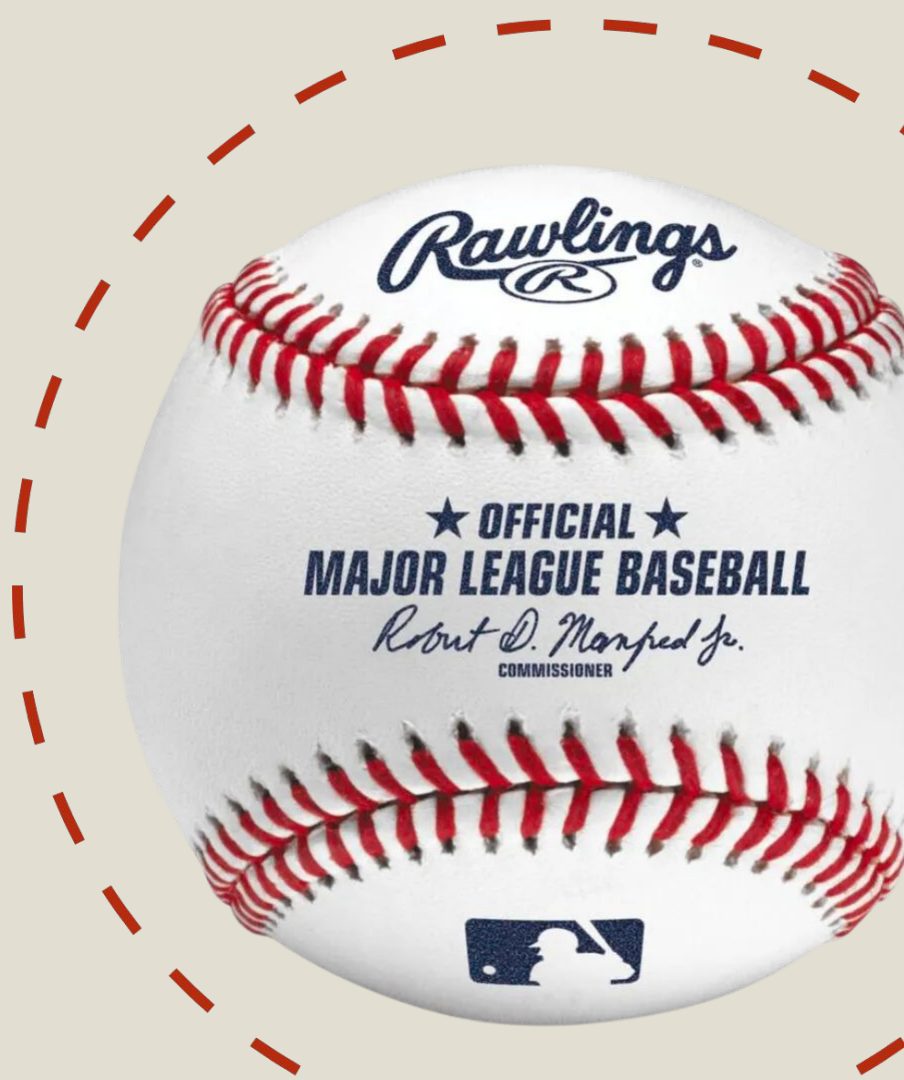


Does team salary impact wins in Major League Baseball?

By Lexie Spatz

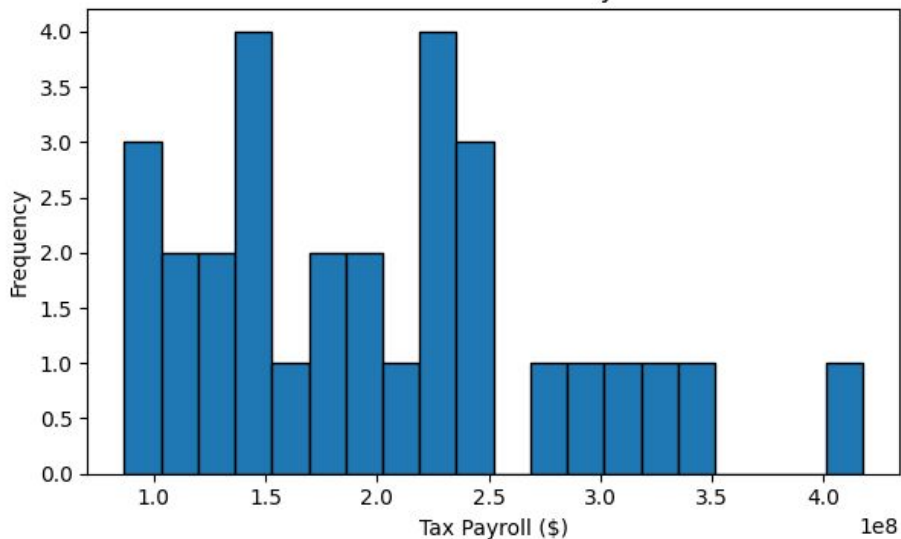




Team Salaries



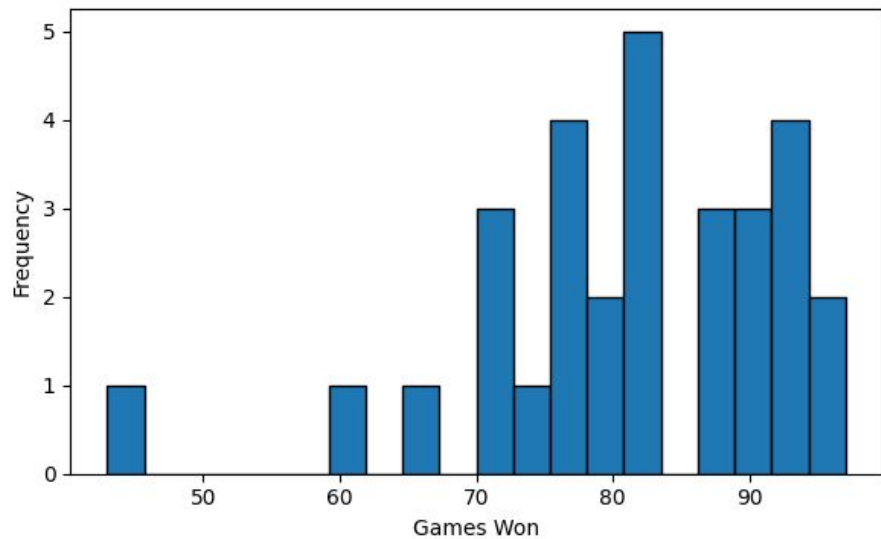
Distribution of Tax Payroll



Games Won



Distribution of Games Won



The OLS assumptions are satisfied showing that the assumptions of my model are valid.

Regression Results: Do higher payrolls lead to more wins, controlling for run differential?

Wins = 79.6848 + (6.508e-09 * Tax Payroll) + (0.0836 * Run Differentials)

Payroll P-value: 0.594

Result: cannot reject null hypothesis.

Conclusion: While the simple regression shows a **positive relationship between payroll and wins**, once run differential is controlled for, **the direct link from payroll to wins disappears**. There is a positive but weak relationship between payroll and wins.

